

Evaluating the Effectiveness of Financial Management Tools on Loan Performance in Microfinance Institutions in Nairobi City County.

A case study of:

[Faulu Microfinance Bank & Kenya Women Microfinance Bank (KWFT)].

CHAPTER ONE: INTRODUCTION

1.1 Background of the Study

Microfinance institutions (MFIs) have experienced significant growth worldwide (D'Espallier, Hudon, & Szafarz, 2013; Randoy, Strom, & Mersland, 2015). To reduce bad debts, excessive reserves, and insolvency, businesses must understand their clients' financial capabilities, historical debt management, and payment patterns. The ability to enter new markets and attract clients depends on the capacity to make informed decisions about lending and establish adequate funding sources. Existing studies suggest that financial management activities are defined by the ability to manage credit risk, plan, and manage operational capital (Petty & Walker, 2015).

Financial management is a business function dedicated to the thoughtful application of financial resources and the careful selection of capital sources to achieve company goals (Gitman, 2010). Kautz (2007) defines financial management as a process involving financial resource management, such as budgeting, financial accounting, financial reporting, and risk management. Moti, Masinde, Mugenda, and Sindani (2012) argue that effective credit management requires the ability to skillfully manage customers' credit lines.

Financial management practices and competitive advantage are significant predictors of loan performance for MFIs in various countries, including the USA, UK, and Canada (Randoy, Strom, & Mersland, 2015). In African countries, microfinance companies are the primary source of funding for microenterprises. Therefore, credit policies play a crucial role in risk management for most financial institutions. Loan performance in Uganda indicates that MFIs have faced declining performance despite increased efforts to improve their competitive advantage through asset investment (Adongo, 2012). In Kenya, microfinance banks have experienced rising default rates from 2010 to 2019, necessitating the development and implementation of credit policies to mitigate default risks (CBK, 2013).

Fixed asset management is an accounting process that involves tracking non-current assets to prevent theft, ensure financial accounting, and conduct preventive maintenance (Baud & Durant, 2012). An accounting information system is an integrated model within an entity that utilizes physical resources, such as supplies, materials, personnel, funds, and equipment. This system transforms economic information into financial information that guides the firm's operations and activities and provides information about the entity to various users. Working capital is a component of a firm's current assets (Deloof, 2003). Accounting information systems assist in analyzing accounting information derived from financial statements (Lois, P., Tabouratzi, E., & Makrygiannakis, G., 2017).

According to Romney (2009), the greatest benefit of computerized accounting information systems is the automation and streamlining of reporting. Financial information management, along with organizing accounting data, automation may not achieve desired goals unless information analysis is used in the managerial decision-making process (Gitman, 2011). Despite these advantages, recent reports indicate poor loan performance among Kenyan MFIs. Moreover, studies show that Kenyan MFIs' loan performance has consistently deteriorated despite increased efforts to enhance their competitive advantage through improved management practices (Adongo, 2012).

1.1.1 Loan Performance

Loan performance can be defined as the ratio of delinquent loans to the total portfolio. It can also be viewed from an antecedent perspective, where cost-effectiveness is considered in relation to loan performance, assuming that lending costs are effective (Berger & Udell, 2004). These antecedents partially explain loan performance, a procedural interest often captured in research studies.

For MFIs to achieve good loan performance, various factors are at play, including accounting information systems, working capital management, and asset management. Most MFIs generate income from interest earned on loans primarily issued to small and medium entrepreneurs. According to the CBK Annual Supervision Report, 2017, there has been a surge in non-performing loans by MFIs in recent years, negatively affecting their profitability. This trend not only threatens the sustainability and viability of MFIs but also hinders their goal of bridging the financial gap for the unbanked Kenyan population (Mukami, 2017).

In this study, loan performance was examined based on default rates, profit and loss, and the number of loan borrowers, analyzing how it can be influenced by accounting information systems, working capital management, financial reporting analysis, and fixed asset management.

1.1.2 Microfinance Institutions

Microfinance has emerged as a vital tool for poverty reduction and strengthening the risk management capabilities of the poor. It provides access to microfinance services, increasing the chances of avoiding poverty for households below the poverty line. Microfinance services have sustainable impacts on the well-being of customers and reduce vulnerability. However, MFIs face several risks that can harm their long-term operational and financial sustainability, including external factors such as natural disasters, civil conflicts, and economic crises. Therefore, MFIs should implement internal and external awareness measures (D'Espallier, Hudon, & Szafarz, 2013).

Historically, MFIs were limited to providing small loans to the excluded, and financing was primarily provided by global aid agencies (Bogan, 2012). The dominant financing model in developing nations involved government suppression of finance and intervention in the funding sector to direct financial resources towards prioritized socioeconomic ventures. This state-controlled approach resulted in inefficient allocation of resources, high non-performing loans, and a weak, uncompetitive banking sector (Karmakar & Mukhopadhyay, 2011).

Loans to the poor were often offered at subsidized rates with little emphasis on creditworthiness assessment. These loans were frequently accessed by those with political connections, and there was limited effort to monitor their use. Channeled through state banks, these loans received low priority, leading to high perceived risks and limited disbursements (Chen & Des Jardins, 2010).

The primary customers of MFIs are low-income earners and individuals with limited assets. These individuals lack credit history and are considered risky due to their exclusion from traditional financial systems (Mukami, 2017). Limited incomes and high demand for loans hinder the evaluation of personal loan applications. To achieve self-sustainability, MFIs must develop structured procedures that minimize costs, create a dedicated and reliable customer base, and contribute to poverty alleviation.

Any organization involved in lending to excluded low-income individuals is considered highly risky compared to established financial institutions. Their loan portfolios may be more volatile, posing significant capital loss risks. Continuous creditworthiness monitoring, assessment mechanisms, and timely detection of problem loans are essential for MFIs. MFIs represent an attempt to move towards traditional banking, emphasizing self-help philosophy, empowerment practices, and a focus on sustainability.

1.1.3 Financial Management Tools

Financial management can be defined as the effective management of funds to achieve organizational goals. It is typically considered a specialized function directly linked to top organizational management. Financial management has four recognized components: planning, organizing and directing, controlling, and decision making. Effective and efficient financial management provides advice on fundraising, accounting, investor relations, communication, and reporting to a wide range of stakeholders. It also involves forecasting and managing cash flow, costs, budgeting, asset acquisition, and project assessment. Financial management tools are a set of common approaches or standard working procedures created by MFIs to carry out budgeting, accounting, financial reporting, and other financial-related operations. These tools serve as sources of information and guidance, helping MFIs manage their financial resources and meet financial compliance requirements and responsibilities (Ramasobana, Fatoki, & Oni, 2017).

1.1.4 Accounting Information System

The Accounting Information System (AIS) strategy can be described in terms of the information characteristics it provides (Lois, Tabouratzi, & Makrygiannakis, 2017). Kearns (2010) described AIS in relation to the perceived value of four information qualities: scope, timeliness, extent of accumulation, and integration. Scope refers to the extent to which AIS is used in terms of time and space. Information can focus on future or historical events, internal or external events, and financial or non-financial terms. Timeliness refers to the speed of reporting and the alignment of information. An AIS encompasses all resources involved in transforming financial and other data. AIS can achieve this transformation manually or through computerization.

1.1.5 Working Capital Management

Working capital is defined as a firm's investment in short-term assets such as cash, accounts receivable, inventories, and marketable securities. Net working capital is the difference between an organization's current assets and its short-term liabilities. Working capital management involves the administration of short-term assets and short-term liabilities to ensure minimal costs and risks (Deloof, 2003).

1.1.6 Financial Reporting Analysis

According to García and Martínez (2007), financial reporting involves the disclosure of financial information to senior management and the public, if the firm is publicly traded, about the firm's performance over a specific period. Financial reports are typically distributed on a quarterly or annual basis, distinguishing them from management reporting, which involves the disclosure of financial information to individuals within the firm, primarily for decision-making purposes. The objective of financial reporting is to assist management in making effective decisions and to identify the strengths and weaknesses of a firm, contributing to its overall financial health (García and Martínez, 2007).

1.1.7 Fixed Asset Management

Financial transactions are typically recorded in books, considering the going concern concept of the business entity. The going concern concept assumes that a business can operate for an indefinite period without discontinuation. This assumption justifies the recording of fixed assets at their original cost and depreciating them systematically without focusing on their current value (Agarwal & Taffler, 2008). In this context, fixed assets refer to items that are not sold or consumed within the normal course of business, such as equipment, buildings, vehicles, land, and machinery. Fixed asset management involves the accounting process of tracking fixed assets to prevent theft, ensure financial accounting, and conduct preventive maintenance. Fixed asset management enables microfinance institutions to carry out their operations without interruption or the risk of theft (Samwel, 2009).

1.1.8 Loan Performance of Microfinance Institutions in Nairobi City County

In Kenya, there has been renewed interest in MFIs among policymakers and practitioners due to their potential to improve the living standards of the population. The microfinance industry in Kenya encourages small-scale investments that yield sufficient revenues from previously untapped market opportunities while generating profits from those investments (Schicks, 2010). The Microfinance Act of May 2nd, 2008 provides an opportunity for existing MFIs to grow and flourish by regulating the establishment of MFI business operations through licensing. Currently, there are 12 deposit-taking MFIs operating in Kenya (CBK, 2013).

Kenya has witnessed a significant increase in non-performing loans among MFIs over the past seven years, leading to decreased liquidity, negatively affecting investment decisions, and resulting in poor financial performance (AMFI, 2013). The Central Bank of Kenya (CBK) 2013 annual supervision report indicated a considerable reduction in MFIs' borrowings, reflecting their overreliance on deposits due to the better ability to attract savings from banks and credit-only MFIs. According to Schicks (2010), MFIs offer better opportunities for providing microfinance services to less privileged members of society and SMEs compared to traditional financial institutions. The sustainability of these services is contingent upon the portfolio quality of MFIs, which has been found to be critical due to over-indebtedness among microfinance clients, putting MFIs' successes at risk (Biekpe & Kiweu, 2009).

Research from the 1990s suggests a framework based on dual dimensions of outreach and sustainability for assessing MFI performance (Kereta, 2007). The Annual Report on the Microfinance Sector in Kenya (2013), presented by the Association of Microfinance Institutions-Kenya (AMFI), revealed that there are approximately 566 MFIs in Kenya, with 136 located in Nairobi City County. The report further indicated that Nairobi City County has the highest allocation of the sector's loan portfolio at 30 percent but with

only 17 percent of the total number of active borrowers. Since 2013, there have been reports of low performance incidents among MFIs, reflected in the increasing levels of non-performing loans as indicated by the CBK annual supervision report (2015). Recent reports show reduced loan performance among many MFIs in Kenya, and the loan performance of MFIs has continued to deteriorate despite increased efforts to improve their competitive advantage through asset investment (Adongo, 2012).

1.1 Statement of the Problem

According to the CBK Annual Supervision Report, 2016, MFIs in Kenya have experienced low performance, reflected in the increasing rate of non-performing loans, which rose from 8.7% to 9.1% in 2016. This trend negatively impacts the productivity of MFIs, hindering their viability and sustainability. Consequently, their ability to offer loans to both banked and unbanked individuals to bridge financial gaps and mainstream the Kenyan financial sector is compromised. Effective risk identification and appraisal have been instrumental in mitigating loan repayment issues (Kipkemboi, 2012). Moreover, efficient risk appraisal directly influences loan performance (Muturi, 2012; Gichuki et al., 2016). However, Auronen (2003) observes that information asymmetry theory suggests it is challenging to distinguish good borrowers from bad ones, necessitating a thorough evaluation of all identified risks to ensure that only qualified borrowers receive loans.

Despite national development programs prioritizing sustainable financial services for low-income Kenyans, as advocated by Yunus (1996), the loan performance of MFIs remains less encouraging. Microfinance institutions in Starehe Sub County, which serve retail customers, face specific challenges, including rising default rates, declining profits, less informed borrowers, unsecured loans, and government-imposed limitations on loan amounts. While existing research on MFI performance in Kenya is available, this study aims to address knowledge gaps left by previous studies by examining the effects of financial management practices on loan performance in Kenyan MFIs, particularly those in Nairobi County.

1.2 Objectives of the Study

1.2.1 General Objective

To investigate the effect of financial management tools on the loan performance of microfinance institutions in Starehe Constituency, Nairobi City County.

1.2.2 Specific Objectives

1. To examine the effect of accounting information systems on loan performance of microfinance institutions in Starehe Sub County.
2. To explore the effect of working capital management on loan performance of microfinance institutions in Starehe Sub County.
3. To examine the effect of financial reporting analysis on loan performance of microfinance institutions in Starehe Sub County.

4. To examine the effect of fixed asset management on loan performance of microfinance institutions in Starehe Sub County.

1.3 Hypotheses

H01: The extent of accounting information systems does not affect loan performance of microfinance institutions in Starehe Sub County.

H02: Working capital management does not affect loan performance among microfinance institutions in Starehe Sub County.

H03: Financial reporting analysis does not affect loan performance of microfinance institutions in Starehe Sub County. H04: There is no significant relationship between fixed asset management and loan performance of microfinance institutions in Starehe Sub County.

1.4 Significance of the Study

This study was conducted among microfinance institutions in Starehe Sub County. Microfinance aims to enhance and facilitate small deposits and loans for low-income households excluded by commercial banks. It provides financial services such as savings, loans, and insurance to low-income individuals in urban and rural areas who are disadvantaged in accessing such services from traditional banks. The findings of this study are expected to benefit various groups and individuals, helping them understand the financial management practices adopted by microfinance institutions and their impact on organizational performance. The results may also assist policymakers in developing policies aimed at improving microfinance management in Kenya, considering its role in providing loans and other financial services to low-income individuals. Additionally, the study might aid the government in implementing strategies to protect the sector and ensure its continued service to customers and promotion of economic development.

This study contributes to the existing literature on the effects of financial management tools on loan performance of MFIs in Kenya. It may also motivate related studies in emerging market economies to explore whether similar results are applicable.

1.5 Scope of the Study

According to the 2017 Annual Report on the Microfinance Sector in Kenya prepared by the Association of Microfinance Institutions-Kenya (AMFI), there are approximately 566 MFIs in Kenya, with Nairobi City County having the highest concentration (136 MFIs). The report further indicates that Nairobi City County has the largest share of the sector's loan portfolio (30 percent) but only 17 percent of the total number of active borrowers. Given the large number of MFIs in Kenya, this study was conducted in Nairobi City County, specifically focusing on MFIs registered and regulated by AMFI. Microfinance institutions were selected for this study due to their widespread presence and well-developed structures in various parts of the country. The specific MFIs selected were accessible to the researcher, who is based in Nairobi City Center.

1.6 Limitations of the Study

Despite careful preparation, the researcher acknowledges certain limitations and shortcomings. Some variables in the study, such as respondents' attitudes, might not be directly observed but only inferred.

The research tools were administered to MFI employees who were not always available at the time of the research due to the academic nature of the study and its deadlines.

1.7 Organization of the Study

This section outlines the various sections of the study. The study is divided into five chapters: Chapter One focuses on the background of the study, statement of the problem, objectives, research questions, significance, and scope. Chapter Two reviews previous literature related to MFIs and their performance, examines relevant theories and the conceptual framework. Chapter Three presents the methodology adopted by the study, including research design, target population, sample size, sampling technique, research instrument for data collection, and data analysis.